SUMMARY · MK 4 OPERATIONS & SUPPLY CHAIN MANAGEMENT · WEEK 2

Operations Strategy & Blue Ocean Strategy

Operations strategy, competitive dimensions and trade-offs, order qualifiers vs winners, IKEA's activity system, supply chain risk and productivity — then Blue Ocean: value innovation, strategy canvas, four actions, ERRC ([yellow tail], Cirque du Soleil, Southwest). Case: Enel's Innovability.

Material

1 Operations strategy and sustainability

Operations strategy sets policies for using resources to implement corporate strategy; operations effectiveness executes priorities at minimum cost. Triple bottom line: people, profit, planet. Formulation: strategic analysis → initiatives → implementation projects.

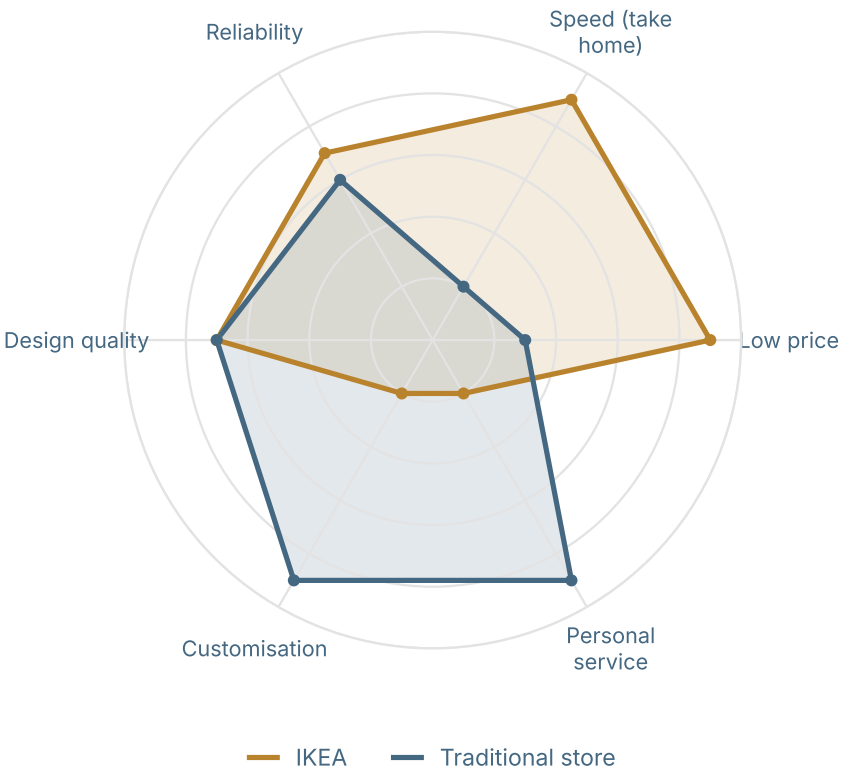
2 Competitive dimensions, qualifiers and winners

Dimensions: cost, delivery speed, delivery reliability, quality (design & process), coping with demand changes, flexibility/new-product speed, support. Trade-offs are unavoidable. Qualifiers get you shortlisted; the winner wins the order (laptop: battery life). Today's winner becomes tomorrow's qualifier.

3 Competitive trade-offs: IKEA vs a traditional furniture store

Deep dive

Competitive dimension profiles (conceptual)



IKEA deliberately trades personal service and customisation for low cost and speed.

Winners become qualifiers

24-hour delivery once won orders; now it only qualifies.

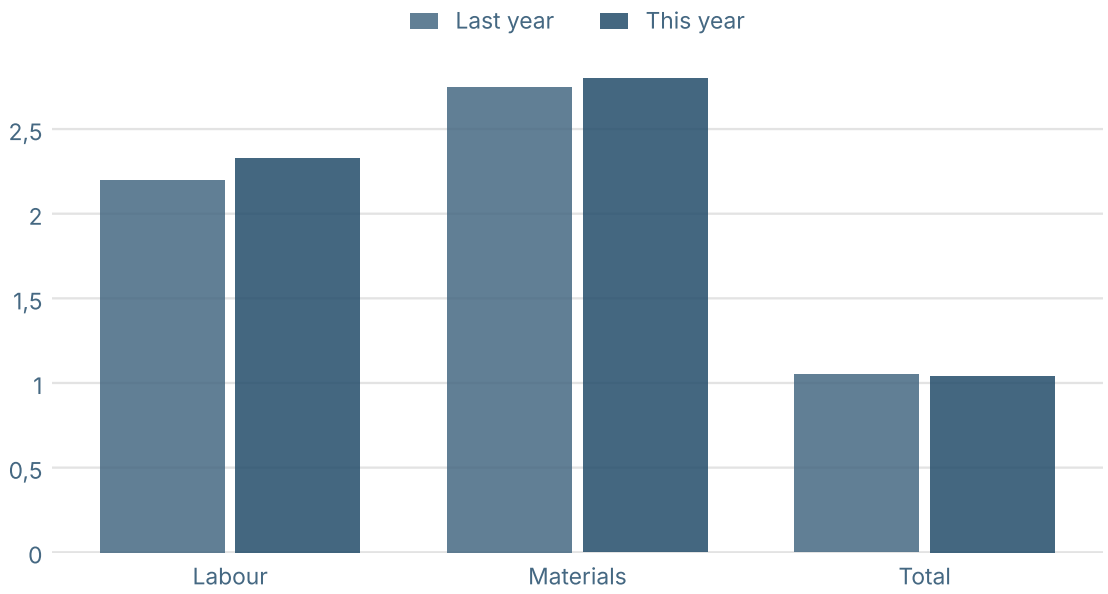
4 IKEA's activity system, risk and productivity

IKEA's advantage comes from the fit of a whole activity system (self-service, flat-pack own design, take-home warehouse, paid extras). Supply chain risk: coordination vs disruption risks (GM 1996: 18-day strike, 26 plants idle, ~$900m). Productivity = output ÷ input; partial measures can rise while total productivity falls (1.05 → 1.04).

5 The productivity paradox: partial up, total down

Deep dive

Productivity last year vs this year



Labour and materials productivity rose, total fell — other inputs grew faster.

6 Blue Ocean: value innovation

Red vs blue oceans. 14% of launches creating new space produced 61% of profit. Value innovation: buyer value up and cost down together — eliminate/reduce cuts cost, raise/create lifts value; requires whole-system alignment.

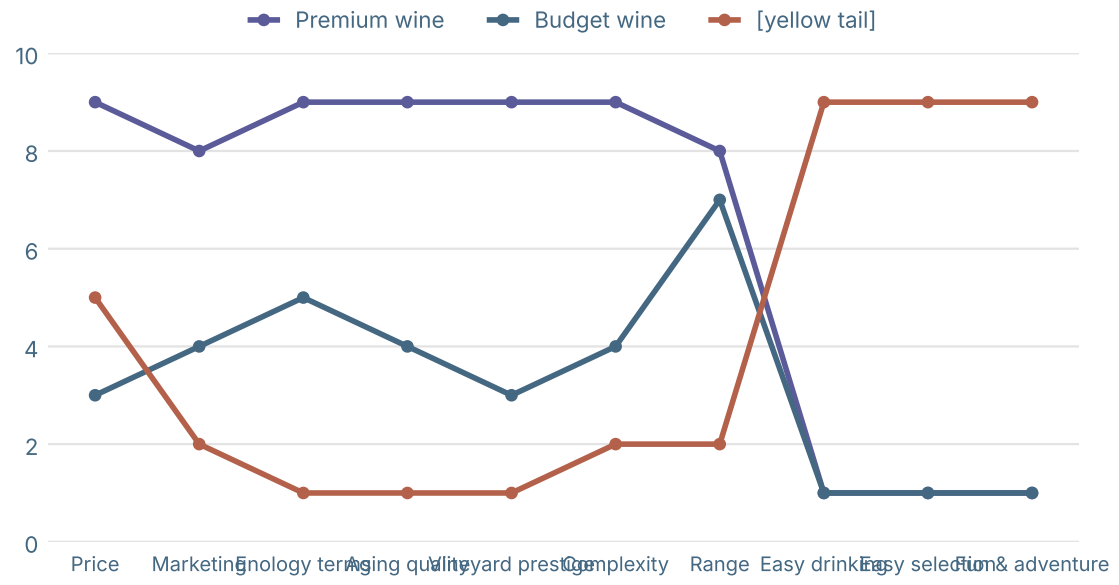
7 Blue Ocean tools: canvas, four actions, ERRC

Strategy canvas and value curves; four actions (eliminate, reduce, raise, create) and the ERRC grid for [yellow tail] and Cirque du Soleil. Tests: focus, divergence, compelling tagline (Southwest). Six value-curve signals. Blue Ocean questions whether the position mapped by the activity system is worth holding.

8 [yellow tail]'s strategy canvas: a different shape

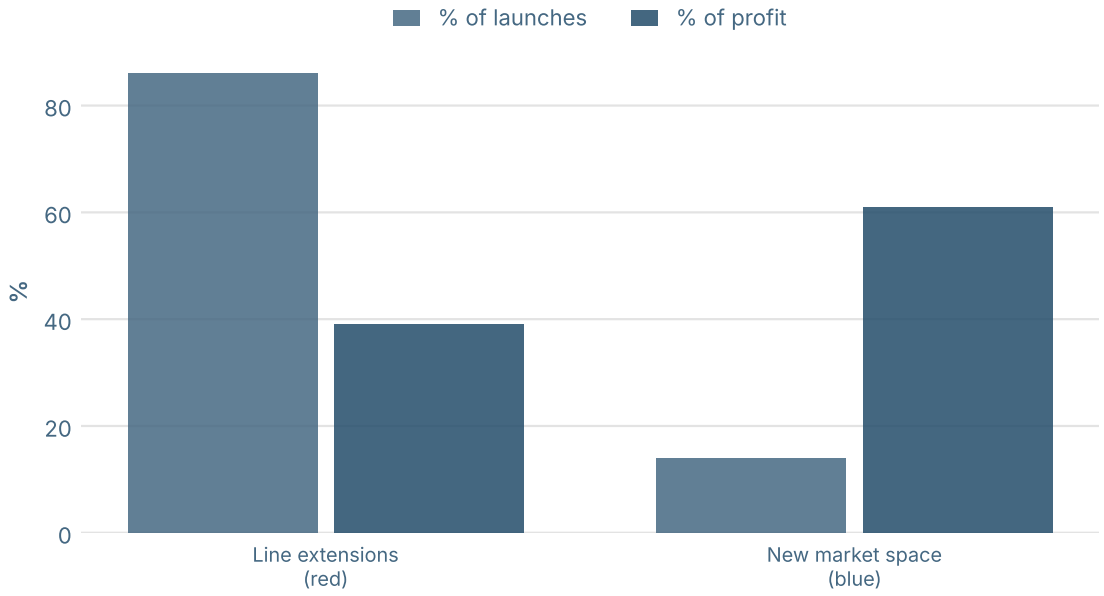
Deep dive

US wine strategy canvas (conceptual)



Premium and budget wines share one curve shape at different heights; [yellow tail] changed the shape.

108 launches: share of launches vs share of profit



Key takeaways

1. Operations strategy guides resource use; trade-offs are unavoidable.
2. Qualifiers vs winners — winners migrate.
3. IKEA wins through activity fit.
4. Partial productivity can hide falling total productivity.
5. Blue ocean: differentiation and low cost via ERRC.
6. Focus, divergence, tagline.

Case studies

Case & worked answers

Enel's Innovability — discussion answers

Enel merged innovation and sustainability into "Innovability", reporting to the CEO, with open innovation (6,000+ start-ups scouted, 50+ scaled). Q1: mostly not a pure blue ocean — closer to operational effectiveness plus capability change; new value for noncustomers (prosumers, e-mobility, demand response) is the blue part. Q2 ERRC: eliminate new coal, closed R&D, fear of failure, most start-up equity stakes; reduce fossil dependence and silos; raise renewables, digital grid, POC speed; create hubs, crowdsourcing, prosumer models, SDG-linked bond. Q3: sustainability is a winner in capital markets, a qualifier for households, a compliance input for corporates — and migrates to qualifier once everyone is green. Q4: regulation slows imitation, falling tech costs speed obsolescence; what lasts is the renewal engine.

Worked examples

Problem 1 · Easy **Produktivitas tenaga kerja**

Bulan lalu 4 karyawan × 160 jam menghasilkan 1.280 unit. Bulan ini, setelah perbaikan proses, 4 karyawan × 150 jam menghasilkan 1.350 unit. Berapa kenaikan produktivitasnya?

1. `Produktivitas = Output ÷ Input`
2. Lalu: 1.280 ÷ 640 jam = 2,0 unit/jam.
3. Sekarang: 1.350 ÷ 600 jam = 2,25 unit/jam.
4. Kenaikan = (2,25 − 2,0) ÷ 2,0 = 12,5%.

Answer: Produktivitas naik 12,5% (2,0 → 2,25 unit/jam).

Problem 2 · Medium **Produktivitas multifaktor**

Nilai output Rp50 juta. Input: tenaga kerja 10, bahan 20, modal 5, energi 2 (Rp juta). Hitung produktivitas multifaktor.

1. Total input = 10 + 20 + 5 + 2 = 37.
2. MFP = 50 ÷ 37 = 1,35.

Answer: 1,35 — setiap Rp1 input menghasilkan Rp1,35 output.

Practice questions

Try answering first. The answer key is below each question.

1. Battery life decides among qualifying laptops. It is the...

A. Qualifier
B. Order winner
C. Hygiene
D. Table stakes

Answer: B. Final differentiator.

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2. In ERRC, the cost-cutting actions are...

A. Raise & create
B. Eliminate & reduce
C. Create only
D. Raise only

Answer: B. Raise/create lift value.

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3. The 14% of launches creating new space produced what share of profit?

A. 14%
B. 39%
C. 61%
D. 86%

Answer: C. 61%.

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4. The three tests of good strategy are...

A. Price, quality, speed
B. Focus, divergence, tagline
C. VRIO
D. Plan, source, make

Answer: B. Southwest example.

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5. Labour and materials productivity rose, total fell. Likely...

A. Miscalculation
B. Other inputs grew faster than output
C. Output collapsed
D. Impossible

Answer: B. Partial measures mislead.

Sources

- [FINAL] Strategy (MK4)
- Jacobs & Chase, Bab 2
- Kim & Mauborgne, Blue Ocean Strategy, Bab 1–2
- Garcia & Monteiro, Enel's Innovability, INSEAD IN1644